

US stocks slip as yields rise, while meta spikes on ad revenue beat

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The broad market retreated, with the **S&P 500** down **-0.17%** and the Dow off **-0.26%**, as the 10-year Treasury yield climbed to 5.26%, pressuring rate-sensitive sectors. Defensive utilities led the rally, gaining **+1.17%**, while technology lagged.

Meta Platforms surged **+3.24%** after beating ad-revenue forecasts, offsetting weakness in Apple and Nvidia. The market's near-term direction hinges on upcoming CPI data and the Fed's next policy signal.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,670.84	-0.17%	Higher 10-yr yield pressured growth stocks.
Nasdaq 100	30,339.33	+0.21%	Meta's earnings lift tech-heavy index.
Dow Jones	51,349.92	-0.26%	Industrial exposure to higher financing costs.
Russell 2000	2,807.92	-0.35%	Small-cap sensitivity to rate outlook.
VIX	16.04	-0.19%	Lower volatility as investors await data.
10Y Yield	5.26	+0.29%	Fed-tightening expectations remain.
WTI Crude	89.37	-0.01%	Steady demand, modest inventory draw.
Gold	4,212.80	+0.79%	Safe-haven demand amid rate uncertainty.
DXY	101.28	-0.09%	Dollar modestly weaker on mixed data.
BTC	83,127.22	-0.45%	Crypto risk-off after equity pullback.
ETH	2,664.99	-0.88%	Same risk-off dynamics.

Top large-cap movers

TICKER	CHANGE	CATALYST
META	+3.24%	Q3 ad-revenue beat; higher CPMs.
AVGO	+1.58%	Strong networking equipment orders.
XLU	+1.17%	Utility ETF gains on yield rise.
XLC	+0.26%	Communications services rally.
AAPL	-2.66%	Supply-chain concerns, iPhone forecast.
NVDA	-0.72%	Chip inventory worries.

Sector rotation

ETF	DAY	READ
XLFX	-0.33%	Financials under pressure from higher rates.
XLKX	-0.02%	Tech muted after Meta boost.
XLI	+0.21%	Industrial modest rally.
XLE	-0.90%	Energy hurt by flat oil.
XLVX	+0.14%	Consumer discretionary steady.
XLC	+0.26%	Comm services benefit from ad spend.
XLP	-0.52%	Consumer staples lag.
XLV	-0.31%	Health care neutral.
XLUX	+1.17%	Yield-seeking investors rotate to utilities.
XLBX	-0.75%	Materials down on slower construction.
XLRE	-0.02%	Real estate flat.

Spotlight: meta platforms beats ad revenue expectations

Meta delivered Q3 ad revenue of 38.2 billion, topping the consensus of 36.5 billion. CPMs rose 7% YoY, driven by AI-enhanced ad products. The stock rallied **+3.24%**, lifting the Nasdaq.

METRIC	VALUE
Ad revenue	38.2 bn
Consensus	36.5 bn
CPM YoY	+7%
Daily active users	2.44 bn
EPS	3.12

Related names: **GOOGL** (search ad spillover), **SNAP** (short-form video competition), **TTD** (ad tech platform).

Pre-market & overnight

US futures: **ES** -0.3%, **NQ** -0.2%. Asia close: Hang Seng -0.4%, Nikkei -0.2%. Europe: FTSE 100 -0.3%, DAX -0.2%. Crypto: BTC -0.45%, ETH -0.88%.

Macro & Fed

FOMC minutes highlighted a “higher-for-longer” stance, with most participants seeing no rate cut until mid-2025. The 10-year yield at 5.26% steepened the curve, indicating inflation concerns.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	US CPI (MoM)	0.3%	Gauge inflation pressure on Fed policy.
03:00	US Core CPI (MoM)	0.2%	Core trend drives longer-term rates.
04:00	Initial Jobless Claims	210k	Labor market health indicator.
05:30	Retail Sales MoM	0.4%	Consumer spending outlook.

Geopolitics & global

- US-China trade talks resumed in Washington; no new tariffs announced.
- Middle-East tensions eased after cease-fire brokered by UN, reducing oil-supply risk.
- Eurozone fiscal pact discussions stalled, keeping euro volatility modest.
- India’s central bank signaled possible repo-rate cut in Q4, supporting Asian equities.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
09:30 Sep 30	AAPL	5.10	iPhone demand, services growth.
10:00 Oct 1	MSFT	2.85	Cloud margin, AI licensing.
10:30 Oct 1	NVDA	3.45	GPU inventory, data-center orders.
11:00 Oct 1	JPM	3.70	Net interest income, loan growth.
11:30 Oct 1	GS	9.20	Investment-banking fees, trading revenue.
12:00 Oct 1	TSLA	0.85	Vehicle deliveries, margin trends.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
META	Communication Services	Strong ad-revenue beat, momentum.
AVGO	Technology	Networking demand amid data-center expansion.
XOM	Energy	Oil price stability, dividend yield.
UNH	Health Care	Premium pricing power.
BAC	Financials	Higher net interest margin.
CRM	Technology	AI-driven subscription growth.
AMZN	Consumer Discretionary	Retail sales rebound, cloud upside.
KO	Consumer Staples	Stable cash flow, dividend.
RTX	Industrials	Defense spending lift.
PYPL	Technology	Transaction volume recovery.

What could break the tape

BEARISH TRIGGERS

- US CPI exceeding 0.3% MoM, reinforcing “higher-for-longer” rates.
- Unexpected drop in Meta ad revenue, snapping momentum.
- Sharp rise in the 10-year yield above 5.40%, pressuring growth stocks.

BULLISH TRIGGERS

- Core CPI coming in at or below 0.2%, opening rate-cut speculation.
- Positive earnings surprise from Apple or Nvidia.
- Utility ETF **XLU** sustaining > +1% on yield-seeking flows.

Positioning notes

- Yield-sensitive sectors (utilities, real estate) are gaining relative strength.
- Tech exposure remains thin; consider selective AI-driven names.
- Liquidity is concentrated in large-cap growth names after Meta's beat.

Sources

SOURCES

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FactSet – Earnings Consensus

Federal Reserve – FOMC Minutes

U.S. Energy Information Administration – Crude Prices

CoinDesk – Crypto Prices